

## 23PSCV00098 23PSCV00098

County: los-angeles

Division: Civil Law and Motion

Department: G

Hearing date: 2026-08-18

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Case Number: 23PSCV00098 Hearing Date: August 18, 2026 Dept: G

Plaintiff

CMBG Advisors, Inc.'s Ex Parte Application for Temporary Restraining Order and Preliminary Injunction

Respondent:

Defendants Luis Faura and Manuel G. Fernandez

TENTATIVE

RULING

Plaintiff

CMBG Advisors, Inc.'s Application for Preliminary Injunction is DENIED.

BACKGROUND

This

is an action for breach of fiduciary duty arising from the defendants' roles as corporate officers of a business. C&F

Foods, Inc. (C&F) was the parent company of C&F Foods Logistics

Services, Inc. (C&F Logistics) and Arizona Flexible Packaging, Inc.

(Arizona Packaging), companies engaged in food packing and export. Defendant Luis Faura (Faura) served as

C&F's president, chief executive officer, and member of the board of

directors while defendant Manuel G. Fernandez (Fernandez) served as C&F's

secretary and chairman of the board of directors. Between 2013 and 2020, Faura and Fernandez

(collectively, Defendants) allegedly conducted numerous business transactions

to C&F's detriment for their own personal benefit and for the benefit of separate

companies they created. On January 15,

2020, on behalf of C&F, C&F Logistics, and Arizona Packaging

(collectively, Assignors), Faura made plaintiff CMBG Advisors, Inc. (CMBG) the assignee for the benefit of Assignors' creditors. CMBG alleges Defendants also transferred C&F's assets to their other companies without CMBG's consent.

On

January 11, 2023, CMBG filed the Complaint, alleging a single cause of action for breach of fiduciary duty against Defendants.

On

July 14, 2026, CMBG filed this ex parte application for temporary restraining order and preliminary injunction. On

July 24, 2026, Defendants filed the opposition to temporary restraining order. On July 27, 2026, the court

denied the temporary restraining order and set the application for preliminary injunction for hearing. On July 31,

2026, CMBG filed the supplemental brief in support of preliminary injunction. On August 7, 2026,

Defendants filed the opposition to preliminary injunction, and on August 12, 2026, CMBG filed the reply.

This

case is set for a status conference and a hearing on this application on August 18, 2026.

#### REQUESTS

#### FOR JUDICIAL NOTICE

Defendants

request that the court take judicial notice of the Minute Order and Order Re: Court's Final Ruling from July 27, 2026.

The court may take judicial notice of the records of any California court, including its own. (See Evid. Code, § 452, subd. (d)(1).)

Thus, the court takes judicial notice of the requested records.

#### EVIDENTIARY OBJECTIONS

CMBG objects to the declarations in support of the opposition. Since the court holds in

abeyance the parties' arguments regarding the likelihood of success on the merits, *infra*, it also holds in abeyance the objections to the declarations.

## ANALYSIS

### CMBG

seeks a preliminary injunction restraining Defendants and their agents from transferring, selling, moving, encumbering, wasting, disposing, demanding, collecting, receiving, discounting, diverting, using, expending, disbursing, assigning, conveying, devising, pledging, mortgaging, creating a security interest in, or withdrawing from current and former assets, income, revenue, or accounts of certain business entities.

For the following reasons, the application is DENIED.

### Legal

#### Standard

#### The

burden of proof is on the moving party "to show all elements necessary to support issuance of a preliminary injunction."

(*O'Connell v. Super. Ct.* (2006) 141 Cal.App.4th 1452, 1481.) In evaluating a party's request for a preliminary injunction, the court considers: (1) how likely it is that the moving party will prevail on the merits and (2) the interim harm the moving party will likely sustain if the injunction were denied. (*Smith v. Adventist Health System/West* (2010) 182 Cal.App.4th 729, 749.) "[T]he greater the . . . showing on one, the less must be shown on the other to support an injunction." (*Dodge, Warren & Peters Ins. Services, Inc. v. Riley* (2003) 105 Cal.App.4th 1414, 1420.)

#### A

court will deny a preliminary injunction if there is no reasonable probability that the plaintiff will be successful on the merits, but "the granting of a preliminary injunction does not amount to an adjudication of the merits." (*Beehan v. Lido Isle Community Assn.* (1977) 70 Cal.App.3d 858, 866.) "The function of a preliminary injunction is the preservation of the status quo until a final determination of the merits." (*Ibid.*)

The

balancing of harm between the parties also “involves consideration of such things as the inadequacy of other remedies, the degree of irreparable harm, and the necessity of preserving the status quo.”

(Husain v. McDonald’s Corp. (2012) 205 Cal.App.4th 860,

867.) In general, if the plaintiff may

be fully compensated by the payment of damages in the event they prevail, then preliminary injunctive relief should be denied.

(See Tahoe Keys Property Owners’ Assn. v. State Water Resources

Control Bd. (1994) 23 Cal.App.4th 1459, 1471; see also Code Civ.

Proc., § 526, subd. (a)(4).)

## Discussion

As

highlighted above, the moving party bears the burden of establishing (1) a likelihood of prevailing on the merits and (2) the relative harm the parties will suffer in the interim. (Smith, supra, 182 Cal.App.4th at 749.)

For the sake of brevity, the court first analyzes the relative harm to the parties.

CMBG

argues that the balancing of harms weighs in favor of granting an injunction preventing Defendants from doing anything with the assets and income from certain business entities. The court disagrees.

As

stated above, the balancing of harm between the parties “involves consideration of such things as the inadequacy of other remedies, the degree of irreparable harm, and the necessity of preserving the status quo.” (Husain v. McDonald’s Corp., supra, 205 Cal.App.4th at 867.) If the plaintiff may be fully compensated by the payment of damages in the event they prevail, then preliminary injunctive relief should be denied. (Tahoe Keys Property Owners’ Assn., supra, 23 Cal.App.4th at 1471.)

The

court previously found that CMBG failed to demonstrate that it could not be fully compensated by the payment of damages.

(See 7/27/2026 Order Re: Court's Final Order, p. 3.) In its brief in support of the preliminary injunction, CMBG fails to contend that it cannot be compensated by damages. (See generally Supp.

Brief; see also *Moulton Niguel Water Dist. v. Colombo* (2003) 111

Cal.App.4th 1210, 1215, stating that "[c]ontentions are waived when a party fails to support them with reasoned argument and citations to authority.")

Therefore,

the court finds the balancing of harms does not weigh in favor of granting the preliminary injunction.

Accordingly,

the application for preliminary injunction is DENIED. Since the court denies the application based on an analysis of the relative harm to the parties, the arguments regarding the likelihood of success on the merits are HELD IN ABEYANCE.

#### CONCLUSION

For

these reasons, the application for preliminary injunction is DENIED. The OSC re: Preliminary Injunction is DISCHARGED.